

Backup Service — Managed vs Self-Managed

Cost & Value Analysis

Decision-support planning estimates — for internal use, not for the provider

Prepared: 2026-07-23 For: Ian Lalonde

Read this first. The figures below are **planning estimates in ranges**, drawn from public list pricing, not vendor quotes. Do not make a final decision on these numbers — use them to decide whether the gap is big enough to be worth getting real quotes. Key unknowns to confirm before acting are listed at the end.

1. What you pay today

T-Net: ~\$1,000/month = ~\$12,000/year — to protect a **small environment** (≈3–5 VMs: FS01, APP01, DC01, RDS01, vCenter). That is roughly **\$2,400–4,000 per VM per year**, which is high for managed backup even allowing for FS01's size. For that fee, they currently provide three bundled things:

Component	What it is	Replaceable?
Veeam licence	Enterprise Plus, rented (you don't own it)	Yes — buy your own
Off-site storage	Cloud Connect target, Toronto-hosted (~13 TB used)	Hard part — needs a replacement target
Management & monitoring	Daily checks, upgrades, support	Yes — you now know how (this incident)

The incident this month is relevant to value: the monitoring you pay for did not catch an 8-day total outage. That is the core of the value question.

2. The key insight

The only genuinely hard-to-replace piece is off-site storage — and it's cheap to self-provide. The likely reason the fee is high is **managed Cloud Connect storage**, which is typically priced at **\$50–80/TB/month** — at ~13 TB that alone is roughly **\$8,000–12,000/year**. Raw cloud object storage (Wasabi/B2) for the same data is **~\$7/TB/month** — about **\$1,200–1,800/year**, a 7–10× difference.

That is the whole arbitrage: you are paying a large markup for managed off-site storage plus a management layer that did not catch an 8-day outage. Self-provisioning the same off-site with object storage is the main lever — *if* you are willing to own the operation.

3. Self-managed — estimated annual cost

Item	Basis	Est. / year
Veeam licence (own)	~3–5 VMs, but VUL sells in a 10-instance minimum pack (or Veeam Data Platform Essentials for small sites, often cheaper)	\$1,300 – 1,900
Off-site storage	Cloud object storage (e.g. Wasabi/B2), ~13–20 TB, no egress fee tier	\$1,200 – 1,800
Backup server + local storage	Already owned (BK01 VM + Synology + E:)	\$0
Monitoring/alerting	Veeam email alerts (already configured) + your review	\$0 hard cost
Recurring hard cost		≈ \$2,500 – 3,700
One-time: migration effort	Re-establish off-site to a new target (incl. a ~13 TB seed)	Your time
Ongoing: your labour	Upgrades, incident response, restore tests	Your time

Alternative to cloud off-site: a second-site NAS (30 TB+) is a one-time ~\$4,000–8,000 capital cost with minimal recurring, if you have a second location to host it. Trades recurring fee for capital + a physical site to manage.

4. The three realistic options

#	Option	Est. / year	Trade-off
A	Stay with T-Net, but hold them to an SLA — use the incident as leverage to get real monitoring, alerting to you, and a service credit	~\$12,000	Highest cost; zero migration; only worth it if they demonstrably fix the management you're paying for
B	Full self-manage — own licence, own off-site (cloud object storage or second NAS), you run everything	~\$2,500–3,700 + your time	Saves ~\$8–9k/yr hard cost; you own all labour, upgrades and incident response; one-time migration + re-seed
C	Rescope — self-manage the Veeam server (you can now), pay a provider for off-site storage only, drop the management tier	~\$4,000–8,000 (depends on storage-only quote)	Keeps off-site outsourced without the failed management premium; requires T-Net (or another provider) to offer a storage-only price

5. Honest non-cost factors

- **Labour is real.** Self-managing means you are the on-call when a backup fails. This month proved you *can* do it — and how much time it takes when things go wrong. Price your hours honestly.
- **Migration cost.** Leaving T-Net means standing up a new off-site target from scratch, including seeding ~13 TB to it — the same seed problem, to a new home.
- **The premium buys "someone else runs it well."** The question isn't whether \$12k is a lot — it's whether T-Net delivers ~\$8k/year of management value over doing it yourself. This incident is one data point that they haven't been.
- **Leverage now, not anger.** You are fully protected and documented today. That is a strong position to renegotiate from — and a weak reason to cancel in frustration.

6. Confirm before deciding

- T-Net contract: term, notice period, and exactly what the \$12k itemises to (get them to break it down).
- Hardware ownership: the Synology and the E: storage appliance — KOR-owned or T-Net-owned? (Synology appears KOR-owned; confirm E:.) If T-Net owns any on-prem hardware, leaving is more involved.
- Real quotes: a Veeam reseller quote for VUL, and a cloud-object-storage quote for your actual volume + growth.
- Whether T-Net will offer a storage-only / license-only price (enables Option C).

7. Suggested play

Don't decide yet — position. Finish the current remediation (the upgrade closes the last technical gaps), then take the documented incident to T-Net and ask them to (a) itemise the fee, (b) commit to a monitoring/alerting SLA with credits, and (c) quote a storage-only option. Their response tells you which of A / B / C is right — on numbers and behaviour, not heat. If you want, get one Veeam reseller quote and one Wasabi/B2 quote in parallel so you're negotiating with real alternatives in hand.

Internal planning document, KOR Structural Operations, 2026-07-23. All costs are ranged estimates from public list pricing, not vendor quotes, and should be validated before any decision. Prepared as decision support only.